

Panasonic HD (6752.T): Conf. takeaway (CFO): BBU/CBU contributions add to structural reforms. Expectations for further corporate

The AI Value Chain

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We hosted an investor group call (fireside chat format) with Panasonic Holdings (PHD) Group CFO Akira Waniko across two sessions on October 6 (17:00–18:00 JST) and October 7 (8:00–9:00 JST).

Amid the effects of structural reforms and business sales implemented last year, Panasonic Holdings has entered a phase of significant earnings growth, bolstered by the added contribution of BBUs/CBUs for data centers, where it holds a 70–80% market share. **Because the company handles everything from components like batteries and capacitors to systems including BBUs/CBUs, our impression is that it is highly likely to maintain strong competitiveness, at least over the next few years as the BBU market grows significantly.** (See also our report “[Framing the Battery Backup Unit Opportunity: \\$50bn by 2030 \(CAGR +87%\); Buy Panasonic HD](#)”)

We believe it is desirable for the company to strengthen its corporate constitution while these BBU/CBU contributions are present. Looking at PHD as a whole, it appears to have a mix of businesses and products with low potential market growth rates or where it is difficult to improve profitability. Rather than being complacent with the current situation, **decisively advancing organizational reforms and selecting and concentrating on businesses and products that are expected to generate high ROIC will lead to enhanced competitiveness for PHD from a long-term perspective. We expect further corporate transformation going forward. Buy (on APAC Conviction List).**

Key points

Company comments unless otherwise noted

Companywide: Continuously executing organizational reforms and measures to sustain structural reform benefits

- **Current status of the turnaround:** While a certain level of results has been achieved following last fiscal year’s structural reforms (headcount optimization) and the sale of some businesses, management recognizes this as an initial step in its medium to long term plans. Past structural reforms were implemented in

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situations where management crises, such as falling into the red, became apparent. However, a major difference this time is that the reforms were implemented proactively for the purpose of further enhancing corporate value, rather than as a crisis response.

- **Mechanism to prevent this from ending as a one-off:** Last fiscal year's structural reforms centered on headcount optimization, but to prevent a rebound, the company will establish a system to constantly control headcount within day-to-day management. Rather than conducting large-scale structural reforms once every few years, the company will going forward incorporate the securing of key personnel and a performance-oriented mindset into routine human resource management.
- **Downside resilience:** The fixed cost structure in Industry and other segments was built by calculating earnings backwards in a way that does not depend on top-line growth. The recent 1Q results represent a situation where the upside in factory automation (FA) demand was added on top of this. While the company cannot control cyclical market fluctuations themselves, the baseline has risen, so downside resilience in cases such as the market entering a downtrend has been clearly strengthened.
- **Organization and decision-making speed:** Due to its nature as a conglomerate, the large number of decision-making layers is an issue, but the company will continue to slim down the middle layers. While advancing the delegation of authority to the front lines (business division side), the company will advance a well-modulated governance approach where discussions on flexible capital allocation for key areas such as AI-related businesses will continue to be held across the entire group. Although it may pale in comparison to purely specialized manufacturers in terms of decision-making speed, the company will strive not to lose to competitors in critical areas (BBUs, capacitors, CCLs, etc.).

Energy: High competitive advantage in BBUs/CBUs

- **Source of competitiveness:** The competitiveness of BBUs/CBUs stems not from the technological capabilities of the batteries alone, but from a combination of three factors: (1) battery technology, (2) capacitor technology, and (3) long-standing relationships with customers (primarily US hyperscalers), making it difficult for competitors to imitate. The differentiation factor is a development process that anticipates future issues and makes proposals in advance, rather than waiting for requested specifications from customers.
- **Threat from Chinese and LFP players:** The company recognizes moves to adopt Chinese-made products and LFP batteries among some customers for whom centralized setups and LFP performance are sufficient. However, its view is that the possibility of encroachment is low in the cutting-edge area for US hyperscalers.
- **Supply capacity:** In the future, the company will be able to secure battery supply capacity by repurposing the Kansas plant from automotive applications to data center BBUs, and it can build a supply chain entirely within North America, including the modularization process in Mexico. As for cells, they account for less than 20% of the cost structure of BBUs, so there is no need for massive production capacity

expansions like those required for automotive batteries, and there are no major supply constraints.

- **CBU business opportunities:** Over the next 3-5 years, BBUs will continue to be the mainstay, but the scale of the CBU business is also expected to build up. CBUs will contribute as an add-on to BBUs. The company aims for margins equal to or higher than those of BBUs.
- **New applications:** As Tesla's interest shifts from the energy domain to AI and semiconductors, the company believes that the relationship between Panasonic and Tesla in power-related domains will actually expand. In the field of humanoids, there is also the potential for Industry products to contribute.

Industry: Strengthening production capacity and rebounding in MEGTRON (CCL)

- The company commented that while its technological capabilities are among the highest in the industry, it is aware that it has fallen behind competitors (such as Taiwanese firms) in securing production capacity over the past few years. It is proceeding with capacity expansions at multiple sites, including mainland China and Thailand, and aims to catch up in terms of volume toward the latter half of FY3/29.

Connect: Blue Yonder is still insufficient but on an improving trend; considering another attempt at the concept of combining it with frontline operations such as factories and warehouses in response to AI advancements

- Blue Yonder's recent standalone earnings are on an improving trend. Previously, there were concerns about AI disruption, but the important point is that it holds a data lake for the entire SCM, and the company's view that BY is actually in the position of utilizing AI agents remains unchanged. It will strengthen transition tools for the Cognitive series and promote efforts to lower switching costs (Journey to Cognitive Cloud (J2CC)).
 - However, considering capital efficiency across the entire group, the company understands that the current situation is not satisfactory, and it believes that further earnings improvement at BY itself is necessary regardless.
- Under the new Connect CEO (Ken Sain), the company is considering another attempt at past concepts, such as linking Blue Yonder with frontline areas like factory and warehouse management (the frontline solutions concept aimed for during the tenure of former Connect CEO Yasuyuki Higuchi). The situation has changed due to the advancement of AI technology since the initial efforts.

Capital allocation and financial strategy: Prioritizing the investment of increasing cash into businesses with high capital profitability to prevent opportunity loss

- Up until last fiscal year, the company was in a phase with significant cash outflows due to structural reform costs such as investment in the Kansas plant, the acquisition of and investment in BY, and headcount optimization. However, it will enter a harvesting phase looking toward the future, such as FY3/29 and FY3/31. FCF will increase in line with profit growth.
- **Investment priorities:** The top priority is to prevent opportunity loss in generative

AI-related businesses (BBUs, capacitors, CCLs, etc.). Because the company anticipates an ROIC significantly higher than the cost of capital, it will prioritize allocating funds here first.

- **Risk comparison between EV battery investment and AI investment:**
AI-related investments have extremely high capital efficiency, and the company believes it should avoid opportunity loss while also reflecting on past EV battery investments. Regarding demand, the company assumes that even if it is delayed, demand will not fall to zero.
- **Share buybacks:** The company is constantly discussing this as one option, but at present, the priority and capital profitability of AI-related investments take precedence.
- **ROIC:** Due to recent interest rate hikes, there is a need to increase returns on the business side. The company sets and manages hurdle rates on a business division basis.

Business portfolio reforms: Reforms have just begun; continuing to focus on high-ROIC businesses

- The business portfolio is not a finite issue, and this is just the beginning. The company will continue to focus on high-ROIC businesses. Doing so will determine its future shape. In addition to large-scale divestitures that have been publicly announced, such as Panasonic Automotive and Panasonic Housing Solutions, the company is also continuing to reshuffle its customer and product mixes within each business division (which is difficult to see from the outside).
- The company considers its long-term pivot to be the B2B domain, also from the perspective of capital profitability. In the B2C domain, companies with top global market shares such as Haier and Midea possess strong competitiveness, and the company views it as important to narrow its focus down to products and regions where it can secure a position.

Pricing policy

- The company plans to proactively proceed with price revisions that include margins, in addition to passing on inflation costs, for products where it holds a strong position, not limited to AI-related products.

Expectations for December IR Day

- The company is scheduling disclosures centered on the solutions domain (Connect, Electric Works, and HVAC&CC). The content is expected to center on the concept of a shift from product-based to account-based management.

Price Target Risks and Methodology - Panasonic Holdings

We are Buy rated. Our 12-month target price is ¥6,300. We apply an EV/EBITDA multiple of 10.5X (FY3/28E basis, derived from the correlation between EV/EBITDA and EBITDA margin for global competitors / historical correlation between EV/EBITDA and EBITDA margin). Risks: **Companywide:** (1) Weaker-than-expected progress with fixed-cost

reductions or insufficiently realized benefits from business reforms across the company as a whole, (2) weaker growth prospects due to the loss of key personnel during the fixed-cost reduction process, (3) slower-than-expected progress in revamping the business portfolio as a result of delays selecting buyers, (4) additional investment and depreciation burdens arising due to increased demand for cylindrical batteries, and (5) forex trends (we estimate that every ¥1 appreciation vs. the USD/EUR/CNY impacts annual adjusted operating profits by -¥0.9 bn/-¥1.0 bn/+¥4.7 bn, respectively).

Lifestyle updates business: Weaker demand for residential/commercial air conditioners due to a downturn in the global economy, or the loss of market share to more popular or cheaper products at competitors. **Panasonic Connect:** (1) A slump in the company's aircraft services business if the "bring your own devices" trend were to become more common for in-flight entertainment on commercial aircraft, (2) weaker-than-expected sales growth at acquired company Blue Yonder (standalone basis), (3) major impairment losses on Blue Yonder if the calculation of its present value were to require a higher WACC due to rising interest rates, softer demand or other factors (indication of impairment is checked every quarter), and (4) a longer-than-anticipated decline in demand for various mounting systems used in process automation, such as the manufacture of PCs and smartphones. **Panasonic Energy:** Tesla opting to increase its use of batteries made by other companies, leading to stronger pricing pressures, a further slowdown in the EV market, or increased competition in the generative AI-related battery backup unit (BBU) business. **Panasonic Industry:** Weaker-than-expected factory automation-related demand, stiffer competition in the generative AI-related hybrid capacitor and circuit board material businesses, or a longer-than-expected downturn in demand for smartphones and other consumer electronics.

6752.T

12m Price Target: ¥6,300

Price: ¥4,668

Upside: 35.0%

Buy **CL**

GS Forecast

Market cap: ¥10.9tr / \$68.9bn	Revenue (¥ bn)	3/26	3/27E	3/28E	3/29E
Enterprise value: ¥11.4tr / \$72.4bn	Op. profit (¥ bn)	8,048.7	8,010.5	8,929.1	9,839.1
3m ADTV: ¥38.4bn / \$241.5mn	Op. profit CoE (¥ bn)	236.4	626.1	921.9	1,161.8
Japan	EPS (¥)	290.0	590.0	—	—
Japan Industrial Electronics	P/E (X)	81.2	220.0	322.5	416.0
M&A Rank: 3	P/B (X)	22.5	21.2	14.5	11.2
Leases incl. in net debt & EV?: Yes	Dividend yield (%)	0.8	1.9	1.8	1.6
	N debt/EBITDA (ex lease,X)	2.2	1.3	1.9	3.0
	CROCI (%)	1.3	0.4	0.1	(0.2)
		8.1	9.4	11.9	15.1
	EPS (¥)	6/26	9/26E	12/26E	3/27E
		57.9	48.1	52.7	57.2

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 7 Oct 2026 close.

Disclosure Appendix

Reg AC

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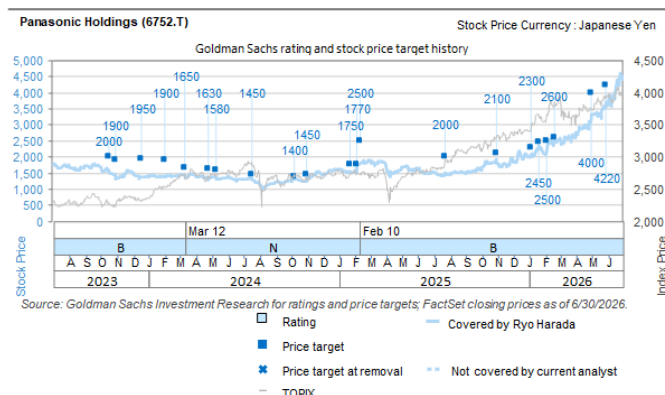
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Panasonic Holdings (6752.T)

Date of report Target price (¥) Closing price (¥)

23-Sep-26	6,300	4,287
30-Jul-26	5,100	3,584
07-Jul-26	5,000	4,400
29-May-26	4,220	3,700
30-Apr-26	4,000	3,203
19-Feb-26	2,600	2,525
04-Feb-26	2,500	2,194
19-Jan-26	2,450	2,351
05-Jan-26	2,300	2,079
30-Oct-25	2,100	1,924
23-Jul-25	2,000	1,506
10-Feb-25	2,500	1,784
04-Feb-25	1,770	1,530
23-Jan-25	1,750	1,548
31-Oct-24	1,450	1,238
07-Oct-24	1,400	1,318
18-Jul-24	1,450	1,318
09-May-24	1,580	1,387
24-Apr-24	1,630	1,393
12-Mar-24	1,650	1,394
02-Feb-24	1,900	1,383
19-Dec-23	1,950	1,370
30-Oct-23	1,900	1,437
17-Oct-23	2,000	1,585

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